

Outlook

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The pricing spread needs an outcomes review - 2025 control review

Morning,

I need help with something that sounds simple but probably is not.

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

The questions I would ask in the room are:

1. What would we expect to see if later distress is concentrated in affordability edges rather than price?
2. What evidence would instead support that higher spreads align with higher expected risk?
3. How do we rule out that channel or product creates unexplained pricing differences?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2025 as the new evidence point rather than recycling the earlier conclusion. Please work towards which pricing rules need review and which differences require conduct testing. A useful output would be a short decision pack with no more than five slides and an attached evidence table.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. One caution: This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Regards